22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year. The average annual tax rate expected as of June 30, 2023 to be effective for the year ended December 31, 2023 is 6.8%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and six-month periods ended June 30, 2023 and 2022 are calculated as follows:

(1) Ordinary shares

	2023		2022	
(In millions of Korean won, thousands of number of shares)	**3 Months**	**6 Months**	**3 Months**	**6 Months**
Profit for the period attributable to owners of the parent company	1,547,018	2,948,270	10,954,515	22,083,609
Profit for the period available for ordinary shares	1,359,607	2,591,107	9,627,448	19,408,327
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783	5,969,783	5,969,783
Basic earnings per ordinary share *(in Korean won)*	228	434	1,613	3,251

(2) Preference shares

	2023		2022	
(In millions of Korean won, thousands of number of shares)	**3 Months**	**6 Months**	**3 Months**	**6 Months**
Profit for the period attributable to owners of the parent company	1,547,018	2,948,270	10,954,515	22,083,609
Profit for the period available for preference shares	187,411	357,163	1,327,067	2,675,282
Weighted-average number of preference shares outstanding	822,887	822,887	822,887	822,887
Basic earnings per preference share *(in Korean won)*	228	434	1,613	3,251

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the six-month periods ended June 30, 2023 and 2022.

24. Statements of Cash Flows

The Company used the indirect method to present cash flows from operating activities. Adjustments and changes in assets and liabilities arising from operating activities for the six-month periods ended June 30, 2023 and 2022 are as follows:

- Adjustments

(In millions of Korean won)	**2023**	**2022**
Adjustments:		
Income tax expense	241,205	7,107,165
Financial income	(3,619,551)	(3,033,105)
Financial expense	2,601,229	2,516,133
Post-employment benefits	551,510	692,424
Depreciation	17,568,639	18,077,845
Amortization	1,576,451	1,543,029
Bad debt expense	76,054	24,421
Dividend income	(96,788)	(330,909)
Share of profit of associates and joint ventures	(413,782)	(491,706)
Gain on disposal of property, plant and equipment	(55,047)	(114,200)
Loss on disposal of property, plant and equipment	20,003	24,107
Loss on valuation of inventories	3,569,456	1,934,530
Other	(61,354)	108,064
Total	21,958,025	28,057,798

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	**2023**	**2022**
Changes in assets and liabilities:		
Decrease in trade receivables	727,124	383,614
Decrease (increase) in other receivables	990,666	(656,444)
Increase in prepaid expenses	(449,776)	(323,801)
Increase in inventories	(5,846,100)	(10,473,730)
Increase (decrease) in trade payables	635,101	(3,479,374)
Increase (decrease) in other payables	589,905	(2,076,950)
Increase (decrease) in advances received	(181,346)	13,502
Decrease in withholdings	(562,980)	(563,671)
Decrease in accrued expenses	(4,485,803)	(1,705,600)
Increase in provisions	1,223,152	326,635
Payment of post-employment benefits	(323,060)	(295,378)
Other	(590,248)	(576,003)
Total	(8,273,365)	(19,427,200)

For the six-month periods ended June 30, 2023 and 2022, cash outflows from principal portion of lease liabilities (financial activities) amount to ₩ 538,783 million and ₩ 485,458 million, respectively, and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 94,075 million and ₩ 61,932 million, respectively.